

Comprehensive Wealth Plan

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Executive Summary

Bottom Line: You can create \$55,900-\$68,300 in value during your first year through strategic tax optimization and intelligent capital deployment, with potential to scale to \$140,000-\$210,000 annually once real estate is operational. The path forward combines S-Corp election for your medical practice, systematic Bitcoin accumulation, and a methodical entry into short-term rental real estate using the cohosting model to prove the concept before committing capital.

Current Position: You're transitioning from W-2 employment (first half of 2025) to 1099 contractor physician work with a PLLC established and ready for S-Corp election. With \$250K projected annual income, \$193K home equity, and 6-10 hours weekly available, you're positioned to implement both tax optimization and investment strategies simultaneously.

Immediate Focus (Next 30 Days): S-Corp election timing with your CPA, accountable plan documentation, Bitcoin DCA increase to \$1,365/month, and launching your first cohosting arrangement to validate the short-term rental model in Pagosa Springs.

Year-One Conservative Value

\$55,900 - \$68,300

Tax strategies + W-4 optimization + Bitcoin growth (15%)

Current Financial Position

CATEGORY	DETAILS
Annual Income	\$250,000 (W-2 Jan-Jun, 1099 Jul-Dec)
Location	Pagosa Springs, Colorado (4.4% state tax)
Monthly Expenses	\$11,500 fixed costs
Liquid Capital Available	\$5-6K immediate, \$25K+ deployable
Home Equity	\$193,000 (likely higher with improvements)
Non-Mortgage Debt	\$5-20K
Retirement Accounts	Under \$50K
Current Savings Rate	30% to HYSA (taxes), \$200/wk emergency fund, \$315/wk Bitcoin, \$300/wk brokerage
Entity Structure	PLLC established, considering S-Corp election Q2 2025
Time Available	6-10 hours per week

30-Day Launch Checklist

These four weeks establish your tax optimization infrastructure and begin your investment strategy. Each week builds on the previous, creating momentum toward your wealth creation goals.

Week 1: Business Entity Optimization

Schedule CPA consultation for S-Corp election timing

Determine whether Q2 or Q3 start date makes more sense based on your income timing. Discuss reasonable salary range (\$100-120K representing approximately 40-48% of net income, which is conservative and defensible).

Review PLLC operating agreement

Ensure it allows for S-Corp election and includes proper language for accountable plan and retirement plan adoption.

Set up S-Corp payroll system

Gusto or similar platform. Configure for quarterly distributions in addition to salary.

File Form 2553 for S-Corp election

Must be filed no later than 2 months and 15 days after the start of the tax year it's to take effect. For Q2 start, file by May 15, 2025.

Week 2: Tax Infrastructure Setup

Create Accountable Plan documentation

Written document outlining reimbursement policy for business expenses. Your CPA can provide a template specific to medical practices.

Measure and document home office

If using dedicated space for administrative work, medical education, telemedicine, or chart review. Calculate square footage for actual expense method.

Install vehicle tracking app

MileIQ or Everlance. Track all medical-related mileage including contractor shifts, medical director travel, and potential concierge house calls. 2025 rate: \$0.70/mile.

Gather health insurance documentation

Premiums paid for yourself (and family if applicable) are deductible as self-employed health insurance once you're on 1099 status.

Week 3: Investment Account Setup

Increase River Bitcoin DCA to \$1,365/month

Up from current \$315/week (\$1,365/month). This represents your optimized allocation based on available cash flow after tax withholding adjustments.

Open Solo 401(k) account

Through your PLLC. Fidelity, Schwab, or E-Trade all offer no-fee Solo 401(k) plans. This unlocks \$23,500 in employee deferrals plus profit-sharing contributions.

Consider STRC/STRF allocation

If seeking Bitcoin-correlated income in addition to direct Bitcoin holdings. 10-15% of investment allocation. Contact Strategy for account setup if interested.

Review current brokerage holdings

Identify tax-loss harvesting opportunities before year-end. Harvest losses to offset gains or carry forward up to \$3,000 against ordinary income.

Week 4: Real Estate Market Research

Research Pagosa Springs STR market

Use AirDNA to analyze: average daily rates, occupancy rates, seasonality, saturation levels. Pagosa Springs tourist season peaks with hot springs and skiing.

Connect with local STR property owners

Join BiggerPockets, local real estate investor groups, or Pagosa Springs STR Facebook groups. Ask about regulations, property management, and what works.

List cohosting services on Airbnb/VRBO

Create profile offering property management services. Target owners who don't want to self-manage or who are out of state.

Review W-4 withholding for W-2 period

If you're still receiving W-2 income in early 2025, adjust withholding to more accurately reflect your actual tax liability. Avoid over-withholding which creates unnecessary cash flow restrictions.

Tax Optimization Playbook

Your mixed W-2/1099 year in 2025 creates unique opportunities. The strategies below are sequenced for both your current year (partial 1099 implementation) and 2026 (full 1099 with real estate additions).

Strategy 1: S-Corp Election (Q2 2025 Start)

Annual Value: \$4,500 - \$6,000

As a 1099 contractor, you're currently paying 15.3% self-employment tax on all net income. S-Corp election allows you to split income between reasonable salary (subject to SE tax) and distributions (not subject to SE tax).

Implementation:

- Reasonable salary: \$100-120K (40-48% of net income is conservative)
- Remaining income: Distributions (not subject to SE tax)
- Savings: $\sim \$130K \times 15.3\% = \sim \$19,890$ SE tax avoided, minus \$15,300 payroll tax on salary = \$4,500-6,000 net savings

Requirements: Payroll setup, quarterly payroll tax deposits, reasonable salary justification documented.

Strategy 2: Accountable Plan

Annual Value: \$1,800 - \$2,400

Reimburses yourself tax-free for business expenses like mileage, meals with colleagues, continuing medical education, professional development, and equipment.

Implementation:

- Written accountable plan document
- Track all business mileage: contractor shifts, medical director travel, networking (target 5,000+ miles/year)
- CME courses, conferences, medical journals, licensing fees
- Business meals when discussing medical practice opportunities

Tax Benefit: \$6,000-8,000 in reimbursed expenses $\times$ 28-30% marginal rate = \$1,800-2,400 value

Strategy 3: Home Office Deduction

Annual Value: \$1,400 - \$1,800

If you use dedicated space for chart review, telemedicine, medical education, or administrative work for your medical practice, you can deduct the actual expenses (recommended over simplified method).

Implementation:

- Measure dedicated office space square footage
- Calculate percentage of home (e.g., 150 sq ft office / 1,800 sq ft home = 8.3%)
- Deduct 8.3% of: mortgage interest, property taxes, utilities, insurance, repairs
- Estimated deduction: \$5,000-6,000 × 28-30% tax rate

Strategy 4: Augusta Rule (14-Day Rental)

Annual Value: \$2,800 - \$3,600

Rent your home to your S-Corp for legitimate business purposes (board meetings, planning sessions, medical director meetings) up to 14 days per year. The rental income is tax-free to you personally, and the rent paid is a deductible business expense for your S-Corp.

Implementation:

- Document meetings held at your home (board meetings, strategic planning, training sessions for potential concierge practice)
- Charge fair market rate: \$200-300/day based on comparable Pagosa Springs short-term rental rates
- Your S-Corp pays rent, deducts as business expense
- You receive up to \$4,200 ($\300×14 days) tax-free

Tax Benefit: \$4,200 deduction × 28-30% rate = \$1,260 business deduction value, plus \$4,200 tax-free income to you personally (normally this would be taxed at your marginal rate)

Strategy 5: Solo 401(k) Contributions

Annual Value (2025): \$12,000 - \$15,000

Annual Value (2026): \$23,000 - \$27,000

Solo 401(k) combines employee deferrals (\$23,500 max in 2025) with employer profit-sharing contributions (25% of W-2 salary or ~20% of net self-employment income after SE tax adjustment).

2025 Implementation (Partial Year):

- Employee deferral: \$12,000 (half-year on 1099 status)
- Employer profit-sharing: Based on 6 months of 1099 income, approximately \$8,000-10,000
- Total contribution: $\sim \$20,000 \times 24\text{-}32\%$ marginal rate = \$4,800-6,400 in tax savings, but consider pre-tax dollars working for you (true value includes avoiding tax on growth)

2026 Implementation (Full Year):

- Employee deferral: \$23,500 maximum
- Employer profit-sharing: \$30,000 (25% of \$120K salary)
- Total contribution: \$53,500
- Tax benefit: $\$53,500 \times 24\text{-}32\% = \$12,840\text{-}17,120$ in immediate tax savings

Strategy 6: Vehicle Section 179

Annual Value: \$5,000 - \$6,500

If you purchase a vehicle over 6,000 lbs GVWR (many SUVs and trucks qualify) and use it for business, Section 179 allows immediate expensing of the business-use percentage.

Implementation:

- Document business use percentage (50%+ required for Section 179)
- Track all business mileage from day one
- First-year depreciation on qualifying vehicle: \$20,000-25,000 business portion
- Tax savings: $\$20,000 \times 24\text{-}32\% = \$4,800\text{-}8,000$

Note: Only implement if you were already planning to purchase a vehicle. Don't buy a vehicle solely for the tax deduction.

Strategy 7: Self-Employed Health Insurance Deduction

Annual Value: \$2,400 - \$3,000

Premiums paid for medical, dental, and qualified long-term care insurance for yourself, spouse, and dependents are deductible as an adjustment to income (not itemized) for self-employed individuals.

Implementation:

- Document all health insurance premiums paid during 1099 contractor period
- Deduct on Form 1040 Schedule 1
- Estimated premiums: \$8,000-10,000/year for family coverage
- Tax savings: $\$8,000 \times 28-30\% = \$2,400-3,000$

Strategy 8: W-4 Optimization (First Half 2025)

Cash Flow Value: \$4,000

If you over-withheld during your W-2 period (January-June 2025), adjust your W-4 to more accurately reflect your actual tax liability. This improves cash flow rather than waiting for a refund.

Implementation:

- Calculate projected total tax liability for 2025
- Adjust W-4 to reduce withholding if currently over-withholding
- Freed cash flow: ~\$4,000 that can be deployed to Bitcoin or real estate savings

Note: Be conservative. It's better to slightly over-withhold than to owe penalties.

Strategy 9: Tax-Loss Harvesting

Annual Value: \$600 - \$1,000

Review your brokerage account for positions with unrealized losses. Sell losing positions to realize losses, which offset capital gains or up to \$3,000 of ordinary income annually.

Implementation:

- Review holdings quarterly
- Identify positions with losses of \$2,000-4,000
- Sell and immediately repurchase similar (but not "substantially identical") security to maintain market exposure
- Tax savings: \$2,000-3,000 harvested losses × 24-32% = \$600-1,000

Total 2025 Tax Strategy Value

STRATEGY	CONSERVATIVE VALUE	AGGRESSIVE VALUE
S-Corp Election (partial year)	\$4,500	\$6,000
Accountable Plan	\$1,800	\$2,400
Home Office	\$1,400	\$1,800
Augusta Rule	\$2,800	\$3,600
Solo 401(k) - partial year	\$12,000	\$15,000
Vehicle Section 179	\$5,000	\$6,500
Health Insurance	\$2,400	\$3,000

STRATEGY	CONSERVATIVE VALUE	AGGRESSIVE VALUE
W-4 Optimization (cash flow)	\$4,000	\$4,000
Tax-Loss Harvesting	\$600	\$1,000
Total Tax Value	\$34,500	\$43,300

2026 Expanded Tax Strategies

Once you're on full 1099 status and have acquired your first short-term rental property, additional strategies become available:

Strategy 10: Short-Term Rental Tax Benefits

Annual Value: \$15,000 - \$35,000

STRs rented for less than 7 days average stay (or 30 days with substantial services) are NOT subject to passive activity loss limitations. This means you can deduct losses against your W-2 or 1099 income without Real Estate Professional Status.

Tax Benefits Include:

- Mortgage interest deduction on investment property
- Property taxes, insurance, utilities, maintenance
- Accelerated depreciation through cost segregation
- Losses offset active income (physician salary)

Example First-Year Scenario:

- Property purchase price: \$450,000
- Cost segregation study identifies: \$125,000 in 5-7 year property
- Bonus depreciation (100%): \$125,000 deductible in year one
- Other deductions (interest, taxes, etc.): \$25,000
- Rental income: \$40,000

- Net loss: \$110,000 (deductible against physician income)
- Tax savings: $\$110,000 \times 28\text{-}32\% = \$30,800\text{-}35,200$

Strategy 11: Cost Segregation Study

Annual Value: \$25,000 - \$50,000

Engineering-based analysis that identifies property components with shorter depreciation schedules (5, 7, 15 years) versus standard 27.5-year residential schedule. When combined with bonus depreciation, this can create significant first-year deductions.

Implementation:

- Hire cost segregation firm (\$4,000-8,000 cost)
- Typical results: 25-35% of building value reclassified to shorter schedules
- \$450K purchase $\times$ 30% reclassified = \$135,000 accelerated depreciation
- Tax savings: $\$135,000 \times 28\text{-}32\% = \$37,800\text{-}43,200$

Bitcoin & Investment Strategy

Your capital allocation balances long-term wealth preservation through Bitcoin with income generation through real estate and strategic equity positions. The goal is 70-80% Bitcoin exposure while building cash-flowing assets that compound over time.

Portfolio Allocation Framework

ASSET CATEGORY	TARGET %	INITIAL DEPLOY	MONTHLY ONGOING	PURPOSE
Bitcoin	60%	\$15,000	\$1,365	Long-term wealth preservation, inflation

ASSET CATEGORY	TARGET %	INITIAL DEPLOY	MONTHLY ONGOING	PURPOSE
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Real Estate (STR)	25%	\$10,000	\$500	Cash flow, tax benefits, down payment accumulation
STRC/STRF	10%	\$0	\$225	Bitcoin-correlated income, 10-12% annual distributions
Accelerators (IREN/ASST/OPEN)	5%	\$0	\$110	Higher risk/reward, take profits at 2-3x and rotate to BTC

Bitcoin Strategy Details

Current Bitcoin Holdings

You're already accumulating Bitcoin at \$315/week (\$1,365/month). This plan optimizes your allocation by deploying the \$25K available capital and increasing your DCA to align with your income and goals.

Optimized Bitcoin Approach:

- **Immediate deployment:** \$15,000 lump sum to take advantage of current price levels
- **Ongoing DCA:** \$1,365/month (\$315/week maintained)
- **Annual accumulation:** \$31,380/year
- **10-year projection at 15% CAGR:** Initial \$15K → \$60,695 | Annual DCA → \$655,000+ total

Custody Progression

As your Bitcoin stack grows, security becomes increasingly important. Follow this custody progression:

STACK SIZE	RECOMMENDED CUSTODY	WHY
\$0 - \$10,000	River exchange custody	Convenient, no withdrawal fees, insured, low complexity
\$10,000 - \$100,000	River Prime	Enhanced security, still convenient for DCA, better institutional-grade custody
\$100,000+	Unchained multisig	True self-custody with collaborative security, 2-of-3 multisignature, you control keys

Investment Philosophy: Your Questions Answered

Question: Should I take profits or hold long-term?

Answer: Different assets require different strategies.

Bitcoin (70-80% of portfolio): Hold long-term (10+ years minimum). Bitcoin is your wealth preservation vehicle. Only sell Bitcoin if deploying capital into cash-flowing real estate that will generate ongoing returns. The goal is to accumulate and hold, riding through volatility.

Altcoins/Accelerators (IREN, ASST, OPEN - 5% of portfolio): Take profits at 2-3x returns. These are higher-risk positions designed for outsized gains. When they hit 2-3x, sell 50-75% and rotate proceeds into Bitcoin. Let remaining position run as "house money."

Traditional Brokerage (transitioning down): Hold long-term in index funds or quality stocks. Harvest tax losses annually. Gradually shift allocation toward Bitcoin and real estate over time.

Question: UTMA for my son vs 529?

Answer: Keep the UTMA, skip the 529.

You mentioned your son is unlikely to attend traditional university. The UTMA provides maximum flexibility - funds can be used for any purpose that benefits the child: trade school, starting a business, down payment on first home, investment capital, or yes, college if plans change.

529 plans are restrictive (education only) and come with penalties for non-qualified withdrawals. Given your stated likelihood of non-traditional education path, the UTMA is the better choice.

Future consideration: Once your son has earned income (lawn mowing, part-time job), open a Roth IRA for him. You can contribute up to his earned income (max \$7,000/year in 2025). This creates decades of tax-free growth and teaches financial responsibility early.

STRC/STRF Income Strategy

STRC (Strategy) and STRF are Bitcoin-correlated preferred equity products that generate 10-12% annual income distributions while maintaining exposure to Bitcoin's upside. They're structured as income-producing alternatives within Bitcoin-focused portfolios.

When to Consider:

- You want Bitcoin exposure plus regular income distributions
- You're looking to diversify Bitcoin allocation beyond direct holdings
- You appreciate the quarterly income for reinvestment or expenses

Implementation: 10% allocation (\$225/month) provides diversification within your Bitcoin strategy while generating income you can reinvest or use for real estate down payment acceleration.

Accelerator Positions

5% allocation to Bitcoin mining equities and infrastructure plays. These are higher volatility but offer leverage to Bitcoin price appreciation.

Recommended Positions:

- **IREN (Iris Energy):** Bitcoin mining with renewable energy focus
- **ASST (Asset Entities):** Bitcoin treasury company
- **OPEN (OpenAI-related infrastructure):** AI and technology infrastructure exposure

Strategy: Equal weight across 2-3 positions. When any position hits 2-3x, take 50-75% profits and rotate to Bitcoin. This captures outsized gains while building your core Bitcoin position.

Real Estate Playbook: Cohosting to Ownership

Your path into real estate should be methodical: prove the concept with low capital (cohosting), build experience and capital, then commit to ownership once you've validated the market and your systems.

Phase 1: Cohosting (Months 1-6)

Why Start With Cohosting

Cohosting allows you to generate income from short-term rentals without buying property. You partner with property owners who need management help, taking a percentage of revenue (25-40%) in exchange for handling guest communication, cleaning coordination, pricing, and bookings.

Implementation Steps:

1. **Create cohost profile on Airbnb and VRBO:** Highlight your professional background (physician = trustworthy), attention to detail, and local Pagosa Springs knowledge.
2. **Target property owners:** Focus on out-of-state owners, second home owners who visit occasionally, or owners struggling with management.
3. **Pricing strategy:** Offer 25-30% of gross revenue for full-service management. You handle everything except maintenance/repairs.
4. **First property goal:** Secure 1-2 cohosting agreements within 60 days.

5. **Expected revenue:** Each property generating \$3,000-5,000/month gross = \$750-1,500/month to you per property

6-**Month Cohosting Goal:** Manage 2-3 properties generating \$2,000-4,000/month in cohosting income. This achieves three things:

- Validates Pagosa Springs STR market and your ability to operate profitably
- Generates \$12,000-24,000 in seed capital for down payment
- Builds systems, knowledge, and vendor relationships (cleaners, handymen)

Phase 2: Down Payment Accumulation (Months 7-18)

While cohosting, systematically save for your first property purchase. Target: \$100,000-125,000 for down payment and reserves.

SOURCE	MONTHLY	12-MONTH TOTAL
Dedicated real estate savings	\$500	\$6,000
Cohosting income (after expenses)	\$2,000	\$24,000
Tax refund from 2025 strategies	-	\$8,000
W-4 optimization cash flow	-	\$4,000
Existing deployable capital	-	\$25,000
Bonus/additional income	-	\$10,000
Total Available (12-18 months)	-	\$77,000-100,000

Phase 3: Property Acquisition (Months 12-24)

Target Property Profile

- **Price range:** \$400,000-500,000 (Pagosa Springs turnkey STR)
- **Type:** 2-3 bedroom condo or small house near hot springs or ski areas
- **Down payment:** 25% (\$100,000-125,000)
- **Expected gross revenue:** \$60,000-80,000 annually
- **Operating expenses:** 50% of gross (very conservative estimate)
- **Net operating income:** \$30,000-40,000 annually
- **Debt service:** ~\$2,400/month (\$28,800/year on \$300K mortgage)
- **Cash flow:** \$100-900/month depending on performance

Financing Strategy: Best to Least Optimal

Option 1: Conventional Loan (BEST)

- 25% down payment required for investment property
- Best interest rates (currently 7-8% for investment properties)
- 30-year fixed terms available
- Based on your credit score (760+) and income, you'll qualify easily

Option 2: DSCR Loan (GOOD)

- Debt Service Coverage Ratio loan: underwriting based on property income, not your personal income
- Useful if you want to acquire multiple properties quickly without income limitations
- Typically 20-25% down, slightly higher rates than conventional
- No tax return requirements (based on property cash flow)

Option 3: HELOC on Primary Residence (BACKUP)

- Access up to 75% of \$193K equity = \$145K available
- Use for down payment if you find exceptional deal
- Interest-only payments during draw period
- Risk: Your primary residence is collateral

Recommendation: Use conventional financing for your first property. Save HELOC as backup for second property opportunity or unexpected great deal. The HELOC should be a strategic accelerator, not your primary financing method.

Land Purchase & Build Option

You asked about land purchase and build vs existing property. Here's the analysis:

Land & Build: Pros and Cons

Pros:

- Built exactly to STR specifications (optimized for guests)
- New construction = lower maintenance for 5-10 years
- Potential to be "under market" if you manage construction well
- Maximum depreciation available (new building)

Cons:

- 12-18 month timeline (no cash flow during construction)
- Construction loan complexities and higher initial costs
- Risk of cost overruns (very common in mountain construction)
- Your time investment during construction (project management)
- Permitting challenges in mountain communities

Recommendation: Buy existing turnkey property for your first STR. Reasons:

- Immediate cash flow (within 30-60 days of closing)
- Proven revenue history (seller should provide historical booking data)
- Existing furnishings and setup (lower capital requirements)
- You can focus on operations rather than construction management

Once you have 1-2 cash-flowing properties and deep experience with STR operations, then consider land and build for property #3 where you can optimize the design based on guest

feedback from your existing properties.

Year-One Value Summary

Conservative Scenario

\$55,900

Tax strategies: \$30,500 | W-4 cash flow: \$4,000 | Bitcoin growth (15%): \$21,400

Aggressive Scenario

\$92,700

Tax strategies: \$39,300 | W-4 cash flow: \$4,000 | Bitcoin growth (30%): \$34,400 |
Cohosting revenue: \$15,000

2026 Projection (With First STR Property)

VALUE CATEGORY	CONSERVATIVE	AGGRESSIVE
Tax strategies (full 1099 + STR)	\$55,000	\$85,000
Bitcoin growth (15-25%)	\$35,000	\$50,000
STR property cash flow	\$30,000	\$45,000

VALUE CATEGORY	CONSERVATIVE	AGGRESSIVE
Portfolio income (STRC/STRF)	\$20,000	\$30,000
Total 2026 Value Creation	\$140,000	\$210,000

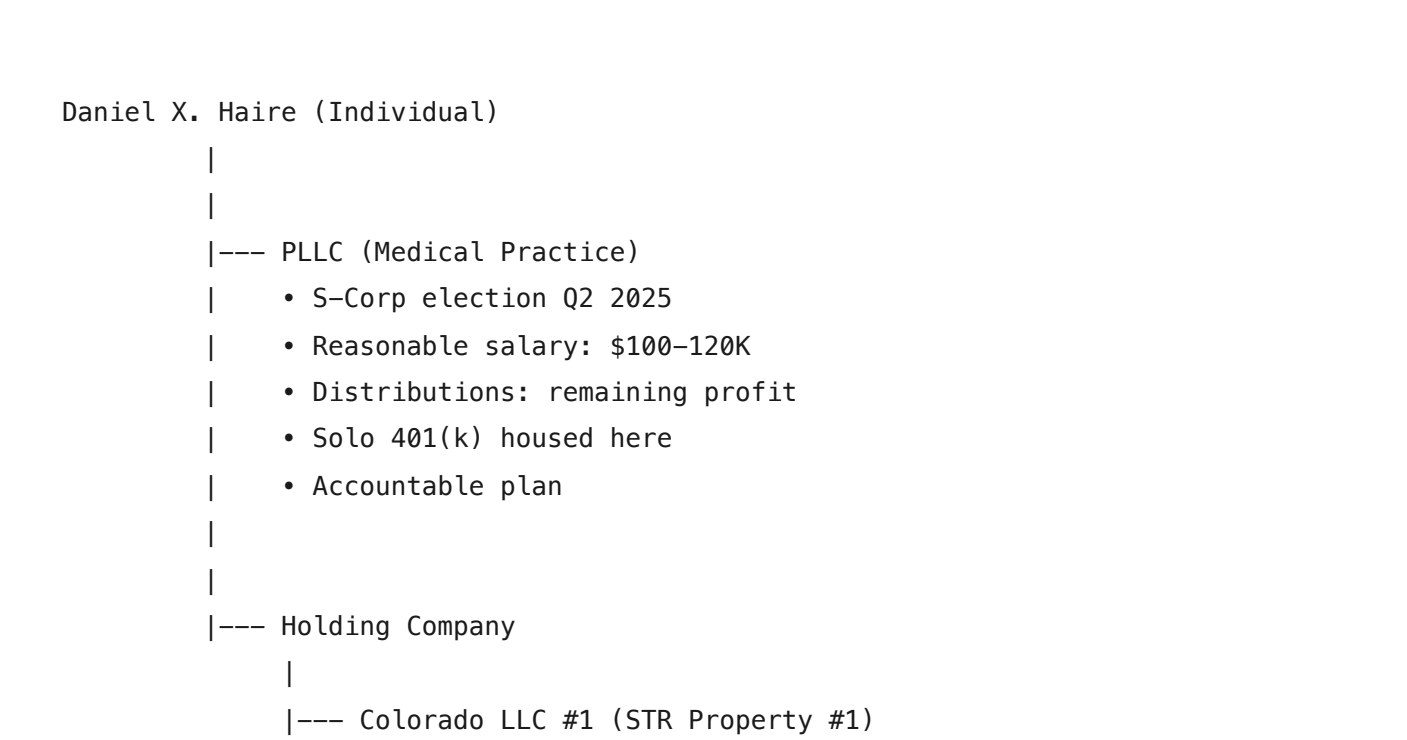
Entity Structure Optimization

Your entity structure supports both medical practice operations and real estate investments while maintaining liability protection and tax efficiency.

Current Structure

- PLLC for medical practice (established)
- Holding company for real estate (established)
- Colorado LLC for real estate (established)

Optimized Structure (Visual)



- | • Single-member LLC
- | • Individual property isolation
- | • Schedule E reporting
- |
- |---- Colorado LLC #2 (STR Property #2) [Future]
- Second property (when acquired)
- Separate liability protection

Why This Structure Works

Medical Practice (PLLC as S-Corp):

- Reduces self-employment tax through salary/distribution split
- Maintains required professional liability structure (PLLC)
- Houses Solo 401(k) for maximum retirement contributions
- Accountable plan for business expense reimbursements

Real Estate (Holding Company → Individual Property LLCs):

- Each property in separate LLC isolates liability
- Holding company optional but provides additional layer of protection
- Schedule E reporting (pass-through taxation)
- STR losses can offset medical practice income (active participation)

2025 Tax Filing Approach

Your 2025 tax situation is unique due to the W-2/1099 split:

January-June 2025: W-2 Employee

- Standard W-2 income reporting
- Employer 401(k) contributions if available
- Standard withholding

July-December 2025: 1099 Contractor (S-Corp)

- S-Corp Form 1120-S (business return)
- Schedule K-1 to your personal return (distributions)
- W-2 from your own S-Corp (reasonable salary)
- Solo 401(k) contributions
- Quarterly estimated taxes during 1099 period

2025 Forms Required:

- Form 1040 (personal return)
- W-2 from employer (Jan-Jun)
- W-2 from your S-Corp (Jul-Dec)
- Schedule K-1 from S-Corp
- Form 1120-S (S-Corp return)
- Schedule E if STR started in 2025

Professional Team Coordination

Your team should include specialists who understand both medical practice taxation and real estate strategies.

Essential Team Members

CPA/Tax Strategist

Role: Tax planning, S-Corp election, entity structure optimization, STR tax strategy

Look for: Experience with physician practices, real estate investors, and S-Corp structures. Should be proactive with quarterly tax planning calls, not just year-end filing.

Investment: \$3,000-6,000/year for proactive tax planning

Action: Interview 2-3 CPAs in Pagosa Springs or Colorado Springs area. Ask about their experience with STR depreciation strategies and physician practice structures.

Real Estate Attorney

Role: Entity formation, operating agreements, purchase agreements, landlord/tenant law

When needed: Entity setup (one-time), property acquisitions, tenant disputes

Investment: \$1,500-3,000 for entity setup, \$1,000-2,000 per property acquisition

Real Estate Agent (STR Specialist)

Role: Property sourcing, market analysis, negotiation

Look for: Agent who owns STRs themselves or specializes in investment properties in Pagosa Springs

Investment: Commission-based (buyer agent commission paid by seller)

Cost Segregation Specialist

Role: Engineering-based analysis for accelerated depreciation

When needed: Immediately after purchasing investment property

Investment: \$4,000-8,000 per property (one-time, pays for itself in year one)

Recommended: Madison SPECS, Cost Seg America

Property Manager / Virtual Assistant

Role: Guest communication, cleaning coordination, maintenance requests

When needed: Once you own property (or sooner if cohosting expands significantly)

Investment: \$500-1,000/month or 10-15% of gross revenue

Timeline & Key Milestones

Q4 2025 (Now - December)

- **November:** S-Corp election consultation with CPA, establish accountable plan, increase Bitcoin DCA
- **December:** File Form 2553 for S-Corp election, begin cohosting outreach, research Pagosa Springs STR market

Q1 2026 (January - March)

- **January:** S-Corp payroll begins, first reasonable salary payment, document home office and vehicle usage
- **February:** Secure first cohosting agreement, open Solo 401(k) account
- **March:** File 2025 taxes, implement tax refund strategy for down payment savings

Q2 2026 (April - June)

- **April:** Second cohosting property acquired, systems refinement
- **May:** Review 6-month cohosting performance, adjust pricing/operations
- **June:** Begin active property search for first ownership opportunity

Q3 2026 (July - September)

- **July:** Make offers on target properties, secure financing pre-approval
- **August:** Property under contract, order cost segregation study
- **September:** Property closing, furnish and list property

Q4 2026 (October - December)

- **October-December:** First full quarter of STR ownership, optimize operations, book holiday season
- **Year-end:** Maximize Solo 401(k) contributions (\$53,500 total), implement Augusta Rule, harvest tax losses

Action Plan: This Week & This Month

This Week (Next 7 Days)

Day 1-2: Schedule CPA consultation

Discuss S-Corp election timing (Q2 vs Q3), reasonable salary calculation, and 2025 mixed W-2/1099 tax strategy.

Day 3: Increase River Bitcoin DCA

Log into River account and adjust recurring purchase from \$315/week to \$341/week (\$1,365/month total).

Day 4-5: Install vehicle tracking app

Download MileIQ or Everlance. Begin tracking all medical-related mileage immediately (contractor shifts, meetings, medical director travel).

Day 6-7: Create cohosting profiles

Set up profiles on Airbnb and VRBO as a cohost. Emphasize your professional background and local knowledge of Pagosa Springs.

This Month (Next 30 Days)

Week 1: S-Corp election and entity optimization

File Form 2553, set up payroll system, review operating agreement, establish accountable plan documentation.

Week 2: Tax infrastructure

Document home office measurements, gather health insurance documentation, set up expense tracking system.

Week 3: Investment accounts

Open Solo 401(k), deploy \$15K Bitcoin lump sum, review current brokerage for tax-loss harvesting opportunities.

Week 4: Real estate market research

Purchase AirDNA data for Pagosa Springs, join local real estate investor groups, reach out to 10+ property owners about cohosting opportunities.

Key Decision Gates

Certain decisions require evaluation at specific milestones:

Decision Gate 1: S-Corp Election Timing (By December 15, 2025)

Question: Should I elect S-Corp status starting Q2 2025 or Q3 2025?

Factors: Timing of W-2 to 1099 transition, projected income during 1099 period, administrative setup time

Recommendation: Q2 (July 1 start) if you're confident about 1099 income beginning then. Q3 if you want an extra quarter to establish systems.

Decision Gate 2: First Property Acquisition (Month 12-18)

Question: Am I ready to purchase my first STR property?

Required Conditions:

- \$100K+ accumulated for down payment and reserves

- 3-6 months cohosting experience proving market viability
- Systems in place (cleaning, maintenance, guest communication)
- CPA comfortable with STR tax strategy

Decision Gate 3: HELOC Usage (As Needed)

Question: Should I use HELOC on primary residence for down payment?

Use HELOC if: Exceptional deal appears before you've saved full down payment AND property cash flow can service HELOC payment

Don't use HELOC if: It's just to speed up timeline without clear financial advantage or if it stretches your cash flow uncomfortably

Appendix A: Tax Strategy Values - Detailed Calculations

This appendix shows detailed math behind the tax strategy values. All calculations assume 28-32% combined federal and Colorado marginal tax rate.

S-Corp Election Value

Projected 1099 net income (Jul-Dec):	\$130,000
Self-employment tax without S-Corp (15.3%):	\$19,890
Reasonable S-Corp salary:	\$60,000
Payroll taxes on salary (7.65% employer portion):	\$4,590
Distributions (not subject to SE tax):	\$70,000
Net SE tax savings:	\$15,300

Less: S-Corp administration (payroll, tax prep):	-\$2,000
Conservative estimate (accounting for setup time):	\$4,500-6,000

Solo 401(k) 2026 Full-Year Value

Employee deferral limit:	\$23,500
Employer profit-sharing (25% of \$120K salary):	\$30,000
Total contribution:	\$53,500
Marginal tax rate (federal + state):	28-32%
Immediate tax savings:	\$14,980-17,120
<i>Note: True value also includes decades of tax-deferred growth</i>	

Appendix B: Bitcoin Projections

Conservative projections using 15% CAGR (Bitcoin's 10-year average is higher, but we're being conservative).

Scenario: \$15K Initial + \$1,365/Month DCA

YEAR	TOTAL INVESTED	VALUE (15% CAGR)	VALUE (25% CAGR)
Year 1	\$31,380	\$33,500	\$36,200
Year 3	\$64,140	\$78,400	\$95,800

YEAR	TOTAL INVESTED	VALUE (15% CAGR)	VALUE (25% CAGR)
Year 5	\$96,900	\$135,200	\$185,600
Year 10	\$178,800	\$379,500	\$655,000

These projections assume consistent DCA, no withdrawals, and don't account for potential appreciation above the conservative CAGR assumptions.

Disclaimers

Not Financial, Tax, or Legal Advice: This wealth plan is for educational and informational purposes only. It is not intended as, and should not be construed as, financial, tax, investment, or legal advice. You should consult with qualified professionals (CPA, financial advisor, attorney) before implementing any strategies outlined in this plan.

Tax Strategies: Tax laws are complex and subject to change. The tax benefits described are based on current tax law (2025) and general principles. Your actual tax situation may differ based on your specific circumstances, filing status, and other factors. Always consult with a qualified tax professional before implementing tax strategies.

Investment Risk: All investments carry risk, including potential loss of principal. Bitcoin is a volatile asset with significant price fluctuations. Real estate investments involve market risk, liquidity risk, and management risk. Past performance does not guarantee future results. The projections in this plan are hypothetical and not guaranteed.

Real Estate: Short-term rental regulations vary by jurisdiction and can change. Verify local zoning, permits, and HOA restrictions before purchasing property for STR use. Revenue projections are estimates based on market data and are not guaranteed.

S-Corp Election: S-Corp status has specific IRS requirements including reasonable salary determination and ongoing compliance. Consult with a CPA before electing S-Corp status to ensure it's appropriate for your situation.

Individual Results May Vary: The strategies and projections in this plan are based on the information provided in your intake form. Changes in your income, expenses, goals, or circumstances may require adjustments to this plan.

No Guarantee of Results: While this plan outlines strategies that have been effective for others, there is no guarantee you will achieve the same results. Success depends on proper implementation, market conditions,

and numerous factors beyond anyone's control.

Wealth Plan prepared November 2025

For Daniel X. Haire | Pagosa Springs, Colorado